

Once investment selection is completed, the investment policy is ready to be put into action.

THE ACADEMICS WEIGH IN

There are critics who question the validity of a long-term asset allocation strategy. They say that investors should be more in tune with what is happening in the markets today and make asset allocation adjustments as necessary. The academics do not agree.

In the January/February 2000 issue of the *Financial Analysts Journal*, Roger Ibbotson, a Yale finance professor and chairman of Ibbotson Associates, and Paul Kaplan, vice president and chief economist at Ibbotson Associates, published a landmark study titled, “Does Asset Allocation Policy Explain 40, 90 or 100 Percent of Performance?”¹ The study was conducted to answer the hotly debated question of whether it was the asset allocation of a portfolio or a manager’s skill in picking stocks and bonds that drove portfolio performance. The study overwhelmingly concluded that more than 90 percent of a portfolio’s long-term variation in return was explained by its asset allocation. Only a small portion of the variation in return was explained by the manager’s ability to time the markets or individual security selections.

The Ibbotson/Kaplan report builds on two studies by Gary Brinson, L. Randolph Hood, and Gilbert Beebower, who looked at the same question 15 years earlier. In 1986, the three analyzed the returns of 91 large U.S. pension plans between 1974 and 1983.¹ At the time, they concluded that asset allocation explained a significant portion of portfolio performance. Brinson, Beebower, and Brian Singer published a follow-up study in 1991 and essentially confirmed the results of their first paper: more than 90 percent of a portfolio’s long-term return characteristics and risk level are determined by the asset allocation.¹ Both those studies were also published in the *Financial Analysts Journal*.

There is overwhelming evidence that a large percentage of a portfolio’s performance is determined by the long-term percentage of money that an investor places in stocks, bonds, real estate, money market funds, and other asset classes. *All About Asset Allocation* is written to help you decide the important 90 percent: what portion of your portfolio should be allocated to various asset classes, styles, and sectors.